

PTC India Ltd. v. Central Electricity Regulatory Commission, thr. Secy. (and connected appeals)

Supreme Court of India (Constitution Bench) · Five-Judge Bench · 15 March 2010 · AIR 2010 SC 1338; (2010) 4 SCC 603 · Civil Appeal No. 3902 of 2006 (with connected appeals) · **Appeals dismissed; reference answered against the appellants**

HEADNOTE

Not a Supply Code case — a Constitution Bench ruling on the architecture of the Electricity Act, 2003's regulatory/appellate framework: whether the Appellate Tribunal for Electricity (APTEL) has jurisdiction under s.111 to examine the vires of Regulations framed by the Central Electricity Regulatory Commission (CERC) under s.178, and whether CERC could cap electricity-trading margins by Regulation under s.178. The Court held APTEL has no jurisdiction to decide the validity of s.178 Regulations (a delegated-legislation function reviewable only via Article 226 judicial review, not appeal), that s.121 does not confer judicial-review power on APTEL, and that CERC was empowered under the residuary s.178(1)/(2)(ze) to cap trading margins by Regulation. Recorded here for corpus completeness given its general significance to the Electricity Act's regulatory architecture, but it concerns inter-State electricity trading/regulatory-jurisdiction questions entirely outside the retail consumer-facing U.P. Electricity Supply Code framework central to this project.

HOLDING-UNITS

INTERPLAY · OFFTOPIC::aptel-jurisdiction-over-cerc-regulations

APTEL has no jurisdiction under s.111 to decide the vires of CERC Regulations made under s.178 (a delegated-legislation function reviewable only via Article 226); s.121 does not confer judicial-review power on APTEL; CERC was empowered under the residuary s.178(1)/(2)(ze) to cap electricity-trading margins by Regulation

HOLDING

(i) Section 178 (CERC's regulation-making power) is wider than the enumerated Order/decision-making functions under s.79(1). (ii) A s.178 Regulation, as delegated legislation, intervenes in and can override existing contracts between regulated entities. (iii) Because a s.178 Regulation is delegated legislation, its validity can be tested only by judicial review before the courts (Article 226), not by appeal to APTEL under s.111. (iv) Section 121 does not confer a power of judicial review on APTEL — the words 'orders', 'instructions', or 'directions' therein do not extend to invalidating subordinate legislation. (v) Where a dispute concerns the interpretation (not the validity) of a s.178 Regulation, an appeal lies to APTEL under s.111, but no appeal lies on the Regulation's validity. (vi) Applying the 'generality versus enumeration' principle, CERC was empowered, under the residuary s.178(1) read with s.178(2)(ze), to cap trading margins in inter-State electricity trading by Regulation. The reference was accordingly answered: APTEL has no jurisdiction to decide the validity of CERC Regulations framed under s.178; such validity may only be challenged by judicial review under Article 226. All appeals dismissed. ¶ paras 59-61 (~277-para Constitution Bench judgment)

FLAG Recorded compactly given its scale (~3670 lines) and its subject (APTEL/CERC regulatory-jurisdiction architecture for inter-State electricity trading), which is distinct from the U.P. Electricity Supply Code's retail billing/assessment/disconnection framework central to this project; not exhaustively digested.